

RESERVE AND ESCROW AGREEMENT

Lakeside Commercial Lending, LLC · Loan No. LCL-2024-0871

This Reserve and Escrow Agreement (this "Agreement") is made and entered into as of January 15, 2025, by and between Lakeside Commercial Lending, LLC, a Delaware limited liability company ("Lender"), and 4400 Riverside Partners LLC, a Texas limited liability company ("Borrower"), in connection with that certain loan in the original principal amount of \$8,250,000.00 (the "Loan") made by Lender to Borrower and secured by, among other things, a deed of trust encumbering the real property commonly known as 4400 Riverside Drive, Austin, Texas 78741 (the "Property").

ARTICLE 3 — RESERVE ACCOUNTS

3.1 Roof Reserve Account. Concurrently with the closing of the Loan, Lender has established and shall maintain a Roof Reserve Account (the "Roof Reserve") with an initial balance of \$75,000.00 as of the Closing Date. Funds held in the Roof Reserve may be used solely and exclusively for roof repair and roof replacement work at the Property, as more particularly described in the Property Condition Report dated December 2, 2024, prepared by Travis County Building Consultants, Inc.

To request a disbursement from the Roof Reserve, Borrower shall submit to Lender, not less than ten (10) business days prior to the requested disbursement date: (a) paid or unpaid itemized contractor invoices describing the work performed or to be performed; (b) before-and-after photographs of the completed work, in each case clearly identifying the area of the Property affected; and (c) executed conditional or unconditional lien waivers, as applicable, from each contractor and subcontractor performing any portion of the work. No disbursement shall be made from the Roof Reserve in the absence of all three of the foregoing items.

3.2 HVAC Reserve Account. Lender has established a separate HVAC Reserve Account (the "HVAC Reserve") with an initial balance of \$40,000.00, to be used exclusively for the repair or replacement of heating, ventilation, and air conditioning equipment serving the Property. Each disbursement request shall be accompanied by itemized contractor invoices, and any single disbursement request exceeding \$10,000.00 shall additionally require Borrower to submit competitive bids from no fewer than two (2) licensed HVAC contractors.

3.3 Capital Reserve Account. Borrower shall fund and Lender shall maintain a Capital Reserve Account in the amount of \$150,000.00 for general capital expenditures at the Property, subject to Lender's prior written approval, which approval shall not be unreasonably withheld. No minimum draw amount shall apply to disbursements from the Capital Reserve.

3.4 Draw Requests Generally. All draw requests submitted under this Article 3 must be received by Lender no later than the fifteenth (15th) day of each calendar quarter. Lender shall have ten (10) business days following receipt of a complete draw request package to approve or reject such request in writing. No disbursement shall be released from any reserve account described in this Article 3 absent Lender's prior written approval.

Reserve Account	Initial Balance	Eligible Use	Minimum Draw
Roof Reserve	\$75,000.00	Roof repair and replacement	None specified
HVAC Reserve	\$40,000.00	HVAC equipment repair/ replacement	None specified
Capital Reserve	\$150,000.00	General capital expenditures	None specified

ARTICLE 4 — RESERVE EXPIRATION

4.1 Unless extended by Lender in writing, all reserve accounts described in Article 3 shall expire, and any unused balance shall be released to Borrower or applied to the outstanding principal balance of the Loan at Lender's election, on December 31, 2027.

4.2 Completion Deadline. All repair or capital improvement work funded from a reserve account established under this Agreement must be substantially completed within one hundred eighty (180) days of the date the related disbursement is approved by Lender.

4.3 This Agreement shall be governed by and construed in accordance with the laws of the State of Texas, without regard to conflicts of laws principles.

Borrower — 4400 Riverside Partners LLC
By: Marcus T. Whitfield, Managing Member

Lender — Lakeside Commercial Lending, LLC
By: Dana R. Ocampo, Senior Vice President